

Gas Distribution Business Unit Profile

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Profile of Sedgewater Gas Distribution for internal partners and the outside operations review: what the business does, its customers and system, how it is regulated and paid, and its current operating priorities. Prepared by the Vice President, Gas Operations, September 2, 2026.

What we do

Sedgewater Gas Distribution buys natural gas, delivers it through its own mains and services, and bills its customers directly. Rates are set by municipalities with original jurisdiction inside their limits and by the Railroad Commission of Texas outside them, with the RRC hearing appeals of municipal decisions.

Customers

We served 262,300 customers at December 31, 2025: Crossroads 96,400, Bayou 117,800 and Prairie 48,100. Harbor District has no Sedgewater gas service. The count was 262,100 at July 31, 2026, reflecting normal summer move-outs.

Throughput is concentrated in winter: about two-thirds of annual volume moves in the first and fourth quarters.

System and people

At year-end 2025 the system had 4,980 miles of main (polyethylene 3,720, protected steel 1,172, unprotected steel 84 and other plastic 4) and 251,000 services. Sedgewater Gas Distribution had 452 employees at June 30, 2026, with shared services provided by Sedgewater Services Company.

Revenue, rate base and rates

2025 operating revenue was \$358 million, of which about \$142 million was gas cost passed through to customers. Rate base was about \$1.18 billion at December 31, 2025.

Gas cost changes pass through each month under the purchased gas adjustment, which lets rates follow the cost of gas. Capital between rate cases is recovered through annual interim rate adjustments, which we have filed since March 2023. The March 27, 2026 filing covered \$86.4 million of 2025 net invested capital and requested an \$11.2 million increase.

A utility using interim adjustments must file a comprehensive rate case by the fifth anniversary of its first filing, so our next gas rate case is due by March 2028.

Leaks

In 2025 we found 2,040 leaks (164 grade 1, 551 grade 2 and 1,325 grade 3); 188 were caused by excavation damage. From January to August 2026 we found 1,360 (110 grade 1, 368 grade 2 and 882 grade 3); 69 were caused by excavation damage.

At August 31, 2026, 63 leaks were open for repair and 1,415 grade 3 leaks were being monitored; the median grade 2 leak was resolved in 30 days. The table summarizes days to resolve for the 1,922 leaks resolved since January 2025.

Measure	Value
Measure	days_to_resolve
Unit	days
Total	107994
Mean	56.1883
Records	1922
Period	2025-01-01 to 2026-08-31

All gas leaks found from January 2025 to August 2026, all grades and sources. Resolved date and days to resolve are blank for open and monitored leaks.

Priorities

Removing the remaining unprotected steel main by the end of 2029 (2026 target: 22 miles of main and 2,400 steel services), reducing excavation damage in growing Crossroads neighborhoods, and preparing the 2028 rate case.